Honasa Consumer: Examination of a Turnaround

How Mamaearth's parent rose to record EBITDA, and are the profits sustainable? *

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Honasa Consumer, parent of Mamaearth and one of the largest digital-first names in Indian beauty and personal care (BPC), posted its first loss as a listed company in Q2 FY25 and its highest-ever EBITDA margin by Q4 FY26. This report decomposes that swing. The recovery is real and volume led, built on rebuilt offline distribution and a portfolio no longer resting on a single brand. The margin, though, came from the cost side rather than from pricing, and per unit realisation fell through FY26. The premiumisation narrative that carries the growth plan has gaps, and Honasa will need to show more to earn trust in that story.

1 What Broke

Following its late 2023 IPO, Honasa Consumer posted its first loss making quarter, Q2 FY25, with EBITDA of -₹31 Cr against +₹40 Cr a year earlier and a net loss of ₹19 Cr against a ₹30 Cr profit. Its bottomline was hurt by a double whammy of falling revenue 6.9% YoY and expenses rising 9% YoY due to higher employee costs and other expenses. Management framed this as a one-time channel event: a ₹63 Cr inventory takeback as super-stockists were removed from the top 50 cities under Project *Neev*, with adjusted revenue of ₹525 Cr implying 5.7% growth. Although superstockist structure delivered speedy reported sales, it also led to delayed replenishments, empty shelves at key retail touchpoints and almost zero real-time visibility into inventory movement. The attempt to resolve this bottleneck in brand consistency also meant inventory corrections, distributor churn, disrupted primary sales and a spell of tepid revenue growth. Offtake data played in its favour as Mamaearth gained 125 bps of value market share YoY in both face wash and shampoo. But UVG, despite being adjusted for the takeback, was 7.1%, against roughly 29% average across the four preceding disclosed quarters. Even on their own adjusted numbers, volume growth had still fallen to a quarter of its recent run.

2 The Comeback and What Drove It

Varun Alagh has since acknowledged that the margin impact of the renewed offline distribution strategy (Project *Neev*) was higher than anticipated. But from Q3 FY25 onwards, profitability returned steadily and execution stabilised, with the EBITDA margin moving from 5.0% to 11.3% by Q4 FY26. The UVG also recovered along the same path [Figure 2]. The distribution rebuild that cost a quarter of revenue in FY25 is the same one now billing roughly 1.2 lakh outlets directly.

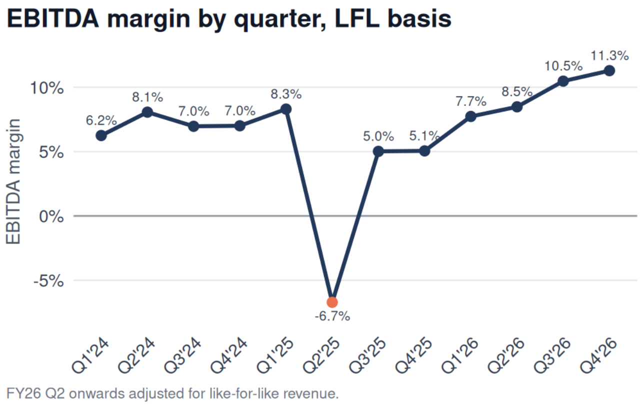

Figure 1

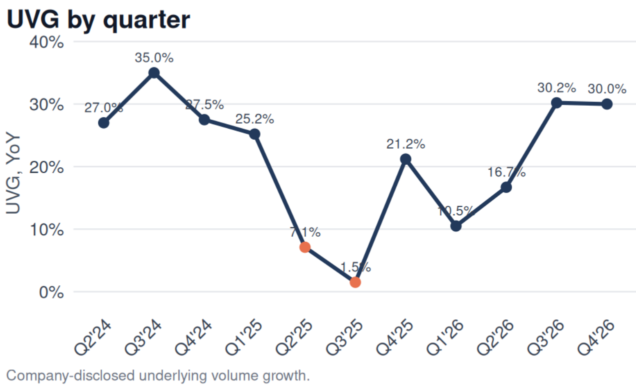

Figure 2

FY25 was also when the portfolio stopped depending on one brand. Mamaearth was narrowed to five focus categories, face wash, shampoo, sunscreen, moisturizer and baby, which together account for about 70% of its revenue. Younger brands also be-

* Independent analysis; views are personal.

gan to shoulder growth. The younger cohort grew 20% YoY in Q2 FY26 and over 40% for FY26 as a whole, with The Derma Co the largest contributor. Newer expansions continue into nutraceuticals through the Fluence Pharma acquisition and partial stake in an oral care brand. Alongside category expansion, they are also experimenting with an in-house premium skin care brand called Luminéve. FY26 headline growth is exaggerated by the broken FY25 base. Measured against FY24 instead, the two-year CAGR is lower but improves through the year [Figure 3].

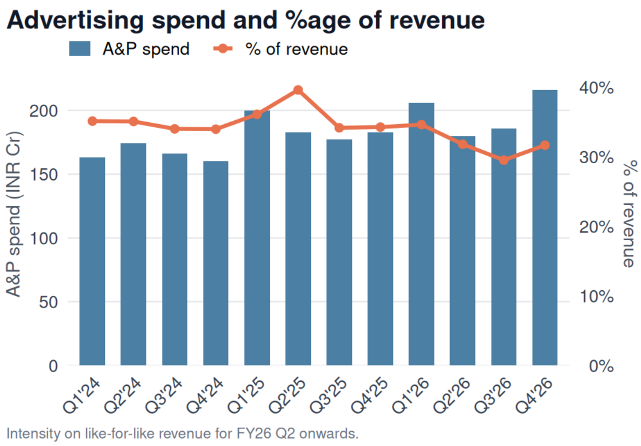

Figure 4

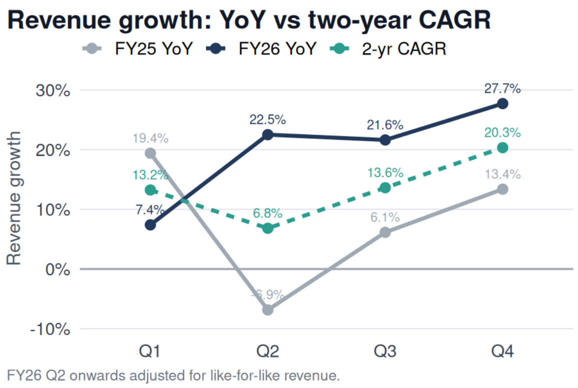

Figure 3

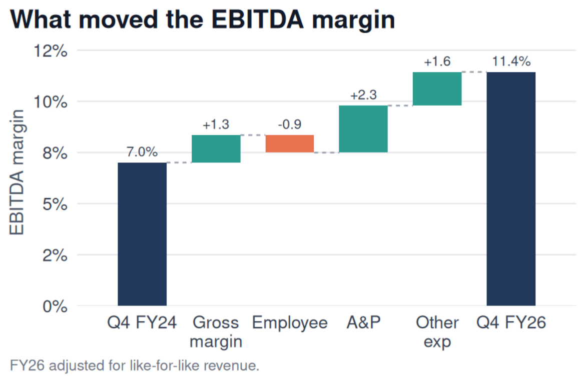

Figure 5

In decomposing the 20.3% revenue CAGR from Q4 FY24 to Q4 FY26, we observe that revenue has outpaced all costs except employee expense, accounting for senior hires for the new businesses. For every unit spent on advertising the brand now sells more volume. UVG of 30% in Q4 FY26 ran ahead of revenue, implying a smaller per-unit realisation. It affirms volume led growth but raises doubts about premiumisation. To identify the source of the rise in EBITDA margin from 7% to 11.3%, comparing Q4 FY24 with Q4 FY26, we observe a healthy distribution with no single line doing all the heavy lifting. A drop in the revenue share of A&P and other expenses, offsetting an increase in employee expense, corroborates the above thesis. But also note that this gain came from spreading the cost rather than a larger revenue share.

3 Is the Turnaround Durable?

There exists uncertainty for lack of clearer budget disclosures around individual brands, CAC or repeat purchase rates. So whether an A&P intensity above the market average reflects brand building or customer replacement cannot be concluded from reported data. We have already seen that the Q2 FY25 fiasco was more than technical disruption. The takeback distorted revenue and empty shelves distorted volume, so neither number shows what the A&P spend achieved. UVG in the following quarter was 1.5% against a normal base, and AICPDF[1] too flagged ₹300 Cr of unsold channel inventory. Demand was genuinely soft underneath. The disclosure gap matters more given its recent venture into prestige or luxury brands, which requires brand credibility for its products. Higher A&P spends would eat up the margins, making the 15% EBITDA target hard to achieve.

As per management, this roughly 500 bps EBITDA margin expansion by FY31 from 9.7% reported mar-

[1] All India Consumer Products Distributors Federation

gin (9.3% LFL) of FY26 does not require cutting brand investment, and will come from these four levers: channel spend efficiency, channel mix, operating leverage, category mix. Three of those four are cost-side and only "category mix" touches product economics. On management's own terms, the expansion comes from cost efficiency and mix, not from charging more per unit. This makes the premiumisation narrative less believable. The cash statement adds a second constraint. Operating cash has fallen while profit doubled [Figure 6], so the negative working capital that once funded growth no longer cushions it. At roughly 76 times earnings against a sector near 45, the price leaves little margin for error.

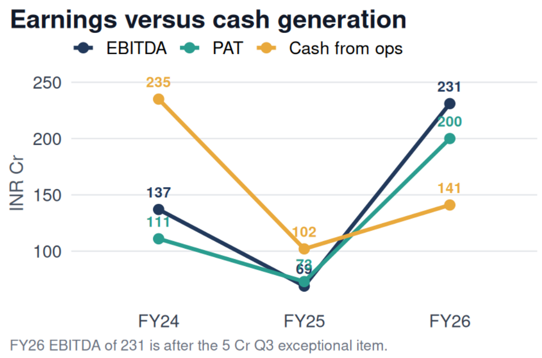

Figure 6

The turnaround is real. The number worth watching in Q1 FY27 financials is not growth. It is whether the double-digit EBITDA margin survives the next round of brand building.

References

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